Appendix II. Assessing External and Public Sector Debt Sustainability[1]

Honduras' debt ratios will remain below their indicative thresholds and resilient to shocks over the medium and long term. This reflects low initial debt ratios and the projected consolidation of macro stability. After receiving debt relief under the HIPC Initiative and MDRI, the NPV of Honduras external debt declined to 12 percent of GDP at end-2007. Honduras reached the Completion Point under the HIPC initiative in April 2005 and received over US$800 million in stock of debt reduction. The debt was reduced further by US$2.3 billion when additional stock of debt relief was provided by the IMF and the World Bank in 2006 under MDRI and by the IDB in 2007. As a result, the external debt-to-GDP ratio declined from 60 percent of GDP at end-2003 to 16 percent at end-2007. Debt to multilateral institutions represented about 77 percent of the total stock of debt at end-2007.

The baseline scenario assumes low fiscal and current account deficits, low inflation, and sustained growth over the medium and long run. In the short run, a stabilization program will contain demand pressures, initiate a sustainable energy policy, increase public investment, and make permanent recent revenue gains. In the medium term, structural reforms will sustain growth in traditional sectors, and a better investment climate will spur growth in maquila, tourism, construction, and the financial sector, contributing to the consolidation of macroeconomic stability. Uncertainties in the external environment (in the medium term) and stabilization of migratory flows (in the long run) will contribute to a slow-down in the growth of remittances. Sound fiscal policy will keep the overall fiscal balance below 2 percent of GDP, and investments in the energy sector will help reduce dependency on imported fuel. As a result, long-run growth will stabilize at 4.2 percent, and export and import growth will stabilize at about 8 and 7 percent, respectively, allowing the current account deficit to remain below 6 percent of GDP (on average). Financing will remain mostly external and concessional for the medium term, although at a declining rate of concessionality.[2] In the long-run, after Honduras' likely graduation from concessional multilateral donor financing, the grant element of new debt will decline below 35 percent.

Honduras' external debt ratios will remain stable under the baseline scenario, with the debt outlook remaining robust under alternative scenarios. The NPV of debt-to-GDP will remain below 14 percent over the horizon of the analysis; only under extreme negative shocks does this ratio peak at 32 percent in 2013. Similarly, all relevant debt ratios remain stable under the

---

[1]This is a Fund staff update of the joint World Bank/IMF DSA conducted in Country Report 06/442. The annual joint World Bank/IMF DSA will be prepared at the occasion of the next Article IV Consultation.

[2]According to Honduras' public sector credit norms, it can borrow externally only on concessional terms.

baseline scenario and substantially below the indicative debt burden thresholds under the extreme stress test.[3]

Honduras' public debt will continue on a sustainable path. The NPV of public debt-to-GDP will remain below 20 percent under the baseline scenario, and below 40 percent under the most extreme stress test (a permanent decline in GDP). Consolidation of improvements in revenue administration will be key to keep the debt service ratio at current levels.

[3]The thresholds are determined by the World Bank's Country Policy and Institutional Assessment (CPIA) rating. In 2005, Honduras was upgraded from a medium to a strong performer, and Honduras remained a strong performer since then, with a CPIA rating of 3.9 on a scale of 1 to 6.

Table 1. Honduras: External Debt Sustainability Framework, Baseline Scenario, 2005-2028 1/

(In percent of GDP, unless otherwise indicated)

	Actual			Historical	Standard	Projections									
	2005	2006	2007	Average 6/	Deviation 6/	2008	2009	2010	2011	2012	2013	2007-12 Average	2018	2028	2013-27 Average
External debt (nominal) 1/	**45.3**	**30.3**	**18.4**			**19.2**	**20.7**	**20.9**	**20.7**	**20.6**	**20.5**		**18.4**	**12.7**	
o/w public and publicly guaranteed (PPG)	42.9	28.3	16.6			17.6	19.2	19.5	19.5	19.4	19.3		17.5	12.4	
Change in external debt	-15.3	-15.0	-12.0			0.8	1.5	0.2	-0.2	-0.1	-0.1		-0.6	-0.4	
Identified net debt-creating flows	-8.8	-6.2	-0.4			2.2	2.0	0.7	-0.2	-0.5	-0.4		0.1	-1.2	
Noninterest current account deficit	**2.1**	**4.1**	**9.6**	**5.0**	**2.4**	**8.9**	**8.4**	**7.3**	**6.2**	**5.7**	**5.6**		**6.1**	**4.6**	**5.6**
Deficit in balance of goods and services	17.8	22.5	26.5			27.4	27.1	26.8	26.7	27.2	28.4		27.0	15.8	
Exports	59.4	54.6	51.7			49.5	49.4	50.2	51.4	52.2	52.4		53.2	45.9	
Imports	77.3	77.0	78.1			76.8	76.5	76.9	78.0	79.4	80.8		80.2	61.7	
Net current transfers (negative = inflow)	-19.6	-22.7	-21.4	-14.8	5.8	-21.3	-21.5	-22.2	-23.1	-24.1	-25.5		-24.3	-14.4	-20.9
o/w official	-1.6	-1.8	-1.1			-1.2	-1.2	-1.2	-1.2	-1.2	-1.1		-1.0	-1.0	
Other current account flows (negative = net inflow)	3.8	4.3	4.5			2.7	2.9	2.7	2.6	2.5	2.7		3.4	3.2	
Net FDI (negative = inflow)	**-6.2**	**-6.3**	**-6.6**	**-5.4**	**1.2**	**-6.5**	**-6.1**	**-6.2**	**-6.0**	**-5.8**	**-5.6**		**-5.6**	**-5.6**	**-5.6**
Endogenous debt dynamics 2/	**-4.7**	**-4.0**	**-3.3**			**-0.2**	**-0.3**	**-0.3**	**-0.4**	**-0.4**	**-0.4**		**-0.3**	**-0.2**	
Contribution from nominal interest rate	0.9	0.7	0.4			0.6	0.5	0.5	0.5	0.5	0.4		0.4	0.3	
Contribution from real GDP growth	-3.3	-2.6	-1.7			-0.8	-0.8	-0.9	-0.9	-0.8	-0.8		-0.7	-0.5	
Contribution from price and exchange rate changes	-2.3	-2.0	-2.0			…	…	…	…	…	…		…	…	
Residual (3-4) 3/	**-6.5**	**-8.8**	**-11.6**			**-1.3**	**-0.5**	**-0.6**	**0.0**	**0.4**	**0.3**		**-0.7**	**0.8**	
o/w exceptional financing	-1.2	-0.7	-0.3			-0.1	-0.1	0.0	0.0	0.0	0.0		0.0	0.0	
NPV of external debt 4/	...	...	12.1			12.4	13.3	13.4	13.4	13.5	13.6		13.1	9.3	
In percent of exports	...	...	23.4			25.1	26.9	26.8	26.1	25.9	26.0		24.7	20.3	
NPV of PPG external debt	**...**	**...**	**10.3**			**10.8**	**11.8**	**12.1**	**12.1**	**12.3**	**12.5**		**12.3**	**9.0**	
In percent of exports	**...**	**...**	**19.9**			**21.9**	**24.0**	**24.0**	**23.6**	**23.5**	**23.8**		**23.1**	**19.6**	
In percent of government revenues	**...**	**...**	**59.1**			**58.7**	**51.3**	**52.3**	**52.2**	**52.6**	**53.0**		**53.4**	**39.1**	
Debt service-to-exports ratio (in percent)	**15.7**	**26.2**	**20.7**			**5.1**	**4.5**	**4.3**	**3.9**	**3.6**	**3.4**		**3.1**	**2.6**	
PPG debt service-to-exports ratio (in percent)	**11.3**	**22.2**	**17.1**			**1.7**	**1.5**	**1.4**	**1.3**	**1.2**	**1.1**		**1.4**	**1.7**	
PPG debt service-to-revenue ratio (in percent)	**41.1**	**72.6**	**50.8**			**4.7**	**3.2**	**3.1**	**2.9**	**2.6**	**2.5**		**3.1**	**3.3**	
Total gross financing need (billions of U.S. dollars)	0.5	1.3	1.7			0.7	0.7	0.5	0.4	0.3	0.4		0.6	0.2	
Noninterest current account deficit that stabilizes debt ratio	17.3	19.0	21.6			8.0	6.9	7.1	6.4	5.7	5.7		6.6	5.0	
Key macroeconomic assumptions															
Real GDP growth (in percent)	6.1	6.3	6.3	5.1	1.5	4.8	4.6	4.5	4.4	4.2	4.2	4.5	4.2	4.2	4.2
GDP deflator in U.S. dollar terms (change in percent)	4.0	4.6	7.2	2.9	2.8	7.0	3.8	2.0	1.2	1.0	0.7	2.6	3.4	5.5	4.3
Effective interest rate (percent) 5/	1.7	1.6	1.5	2.0	0.4	3.8	3.0	2.7	2.3	2.3	2.3	2.7	2.3	2.6	2.4
Growth of exports of G&S (U.S. dollar terms, in percent)	11.0	2.3	7.9	7.5	6.4	7.4	8.4	8.3	8.2	7.0	5.4	7.5	8.0	8.0	7.7
Growth of imports of G&S (U.S. dollar terms, in percent)	11.9	11.1	15.6	10.9	5.9	10.4	8.1	7.2	7.2	7.1	6.9	7.8	6.8	6.8	6.7
Grant element of new public sector borrowing (in percent)	...	...	...	...	...	38.8	39.3	39.7	38.9	36.0	35.7	38.1	31.9	30.9	31.6
Aid flows (in billions of US dollars) 7/	1.1	1.9	1.5			0.6	0.7	0.5	0.4	0.4	0.4		0.6	1.5	
o/w Grants	0.2	0.2	0.1			0.2	0.2	0.2	0.2	0.2	0.2		0.3	0.6	
o/w Concessional loans	0.3	0.2	0.2			0.5	0.5	0.3	0.2	0.2	0.2		0.3	0.9	
Grant-equivalent financing (in percent of GDP) 8/	...	...	...			2.5	2.5	1.9	1.7	1.6	1.5		1.4	1.4	1.5
Grant-equivalent financing (in percent of external financing) 8/	...	...	...			54.9	54.9	63.1	67.7	66.7	66.7		61.7	59.9	61.2
Memorandum items:															
Nominal GDP (billions of U.S. dollars)	9.7	10.8	12.3			13.8	15.0	15.9	16.9	17.7	18.6		25.7	64.5	
(NPVt-NPVt-1)/GDPt-1 (in percent)						1.9	2.0	1.0	0.7	0.8	0.8	1.2	0.8	0.7	0.7

Source: Fund staff simulations.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - r(1+g)]/(1+g+r+gr) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and r = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Assumes that NPV of private sector debt is equivalent to its face value.

5/ Current-year interest payments divided by previous period debt stock.

6/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

7/ Defined as grants, concessional loans, and debt relief.

8/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the NPV of new debt).

Table 2a. Honduras: Sensitivity Analyses for Key Indicators of Public and Publicly Guaranteed External Debt, 2008-28

(In percent)

	Projections							
	2008	2009	2010	2011	2012	2013	2018	2028
	NPV of debt-to-GDP ratio							
Baseline	**10.8**	**11.8**	**12.1**	**12.1**	**12.3**	**12.5**	**12.3**	**9.0**
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2008-27 1/	10.8	10.0	9.1	8.6	8.4	8.1	5.1	7.1
A2. New public sector loans on less favorable terms in 2008-27 2/	10.8	12.6	13.2	13.5	13.9	14.4	15.3	13.7
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008-09	10.8	11.9	12.3	12.3	12.5	12.7	12.5	9.1
B2. Export value growth at historical average minus one standard deviation in 2008-09 3/	10.8	14.2	18.9	18.8	19.0	19.1	17.6	9.5
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2008-09	10.8	12.3	12.8	12.8	13.0	13.2	13.0	9.5
B4. Net nondebt creating flows at historical average minus one standard deviation in 2008-09 4/	10.8	22.0	32.7	32.5	32.5	32.5	28.0	10.5
B5. Combination of B1-B4 using one-half standard deviation shocks	10.8	20.6	31.2	31.0	31.0	31.0	27.0	10.7
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 5/	10.8	16.7	17.0	17.0	17.3	17.5	17.3	12.6
	NPV of debt-to-exports ratio							
Baseline	21.9	24.0	24.0	23.6	23.5	23.8	23.1	19.6
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2007-26 1/	21.9	20.2	18.1	16.7	16.0	15.4	9.6	15.6
A2. New public sector loans on less favorable terms in 2007-26 2/	21.9	25.4	26.3	26.3	26.7	27.4	28.7	29.9
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008-09	21.9	24.0	24.0	23.6	23.5	23.8	23.1	19.6
B2. Export value growth at historical average minus one standard deviation in 2008-09 3/	21.9	30.7	43.2	42.1	41.7	41.8	37.8	23.8
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2008-09	21.9	24.0	24.0	23.6	23.5	23.8	23.1	19.6
B4. Net non-debt creating flows at historical average minus one standard deviation in 2008-09 4/	21.9	44.6	65.3	63.3	62.2	62.0	52.6	22.9
B5. Combination of B1-B4 using one-half standard deviation shocks	21.9	42.4	65.0	63.1	62.0	61.9	53.0	24.4
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 5/	21.9	24.0	24.0	23.6	23.5	23.8	23.1	19.6
	NPV of debt-to-evenue ratio							
Baseline	58.7	51.3	52.3	52.2	52.6	53.0	53.4	39.1
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2007-26 1/	58.7	43.3	39.4	36.9	35.8	34.3	22.1	31.0
A2. New public sector loans on less favorable terms in 2007-26 2/	58.7	54.5	57.1	58.2	59.7	61.0	66.3	59.6
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008-09	58.7	51.8	53.2	53.1	53.5	53.9	54.3	39.7
B2. Export value growth at historical average minus one standard deviation in 2008-09 3/	58.7	61.4	81.8	81.2	81.2	81.1	76.3	41.4
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2008-09	58.7	53.2	55.3	55.2	55.7	56.0	56.5	41.3
B4. Net nondebt creating flows at historical average minus one standard deviation in 2008-09 4/	58.7	95.5	141.8	140.0	139.1	138.2	121.7	45.7
B5. Combination of B1-B4 using one-half standard deviation shocks	58.7	89.4	135.1	133.5	132.7	131.9	117.2	46.4
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 5/	58.7	72.2	73.5	73.4	74.0	74.5	75.1	55.0

Table 2b. Honduras: Sensitivity Analyses for Key Indicators of Public and Publicly Guaranteed External Debt, 2008-28

(In percent)

	Projections							
	2008	2009	2010	2011	2012	2013	2018	2028
Debt service-to-exports ratio								
Baseline	1.7	1.5	1.4	1.3	1.2	1.1	1.4	1.7
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2008-27 1/	1.7	1.5	1.3	1.1	1.0	0.9	0.6	0.8
A2. New public sector loans on less favorable terms in 2008-27 2/	1.7	1.5	1.5	1.4	1.3	1.3	1.6	2.2
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008-09	1.7	1.5	1.4	1.3	1.2	1.1	1.4	1.7
B2. Export value growth at historical average minus one standard deviation in 2008-09 3/	1.7	1.6	1.8	1.9	1.7	1.6	2.9	2.6
B3. U.S. dollar GDP deflator at historical average minus one standard deviation in 2008-09	1.7	1.5	1.4	1.3	1.2	1.1	1.4	1.7
B4. Net nondebt creating flows at historical average minus one standard deviation in 2008-09 4/	1.7	1.5	1.9	2.3	2.1	2.0	4.9	3.3
B5. Combination of B1-B4 using one-half standard deviation shocks	1.7	1.5	2.0	2.4	2.2	2.1	4.8	3.4
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 5/	1.7	1.5	1.4	1.3	1.2	1.1	1.4	1.7
Debt service-to-revenue ratio								
Baseline	**4.7**	**3.2**	**3.1**	**2.9**	**2.6**	**2.5**	**3.1**	**3.3**
A. Alternative Scenarios								
A1. Key variables at their historical averages in 2008-27 1/	4.7	3.2	2.9	2.5	2.2	1.9	1.4	1.7
A2. New public sector loans on less favorable terms in 2008-27 2/	4.7	3.2	3.2	3.2	3.0	2.9	3.6	4.4
B. Bound Tests								
B1. Real GDP growth at historical average minus one standard deviation in 2008-09	4.7	3.2	3.2	3.0	2.7	2.5	3.2	3.4
B2. Export value growth at historical average minus one standard deviation in 2008-09 3/	4.7	3.2	3.4	3.7	3.4	3.1	5.8	4.4
B3. US dollar GDP deflator at historical average minus one standard deviation in 2008-09	4.7	3.3	3.3	3.1	2.8	2.6	3.3	3.5
B4. Net non-debt creating flows at historical average minus one standard deviation in 2008-09 4/	4.7	3.2	4.2	5.2	4.8	4.5	11.3	6.7
B5. Combination of B1-B4 using one-half standard deviation shocks	4.7	3.2	4.1	5.0	4.7	4.4	10.6	6.5
B6. One-time 30 percent nominal depreciation relative to the baseline in 2008 5/	4.7	4.4	4.4	4.1	3.7	3.5	4.4	4.7
Memorandum item:								
Grant element assumed on residual financing (i.e., financing required above baseline) 6/	29.6	29.6	29.6	29.6	29.6	29.6	29.6	29.6

Sources: Fund staff projections and simulations.

1/ Variables include real GDP growth, growth of GDP deflator (in U.S. dollar terms), noninterest current account in percent of GDP, and nondebt creating flows.

2/ Assumes that the interest rate on new borrowing is by 2 percentage points higher than in the baseline, while grace and maturity periods are the same as in the baseline.

3/ Exports values are assumed to remain permanently at the lower level, but the current account as a share of GDP is assumed to return to its baseline level after the shock (implicity assuming an offsetting adjustment in import levels).

4/ Includes official and private transfers and FDI.

5/ Depreciation is defined as percentage decline in dollar/local currency rate, such that it never exceeds 100 percent.

6/ Applies to all stress scenarios except for A2 (less favorable financing) in which the terms on all new financing are as specified in footnote 2.

Table 3. Honduras: Sensitivity Analysis for Key Indicators of Public Debt 2008-2028

	Projections							
	2008	2009	2010	2011	2012	2013	2018	2028
	NPV of debt-to-GDP ratio							
Baseline	**15.8**	**14.7**	**14.7**	**15.1**	**16.1**	**16.0**	**16.6**	**17.3**
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	15.8	14.2	14.0	14.1	14.5	13.9	12.0	9.5
A2. Primary balance is unchanged from 2008	15.8	14.8	15.0	15.7	16.6	16.5	17.1	17.7
A3. Permanently lower GDP growth 1/	15.8	14.9	15.2	16.1	17.7	18.4	24.4	42.5
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2009-2010	15.8	15.8	17.5	19.2	21.5	22.7	29.0	36.8
B2. Primary balance is at historical average minus one standard deviations in 2009-2010	15.8	15.9	17.4	17.8	18.7	18.6	19.0	18.8
B3. Combination of B1-B2 using one half standard deviation shocks	15.8	15.3	16.1	16.5	17.4	17.2	17.5	17.5
B4. One-time 30 percent real depreciation in 2009	15.8	18.9	18.5	18.8	19.8	19.6	19.8	18.2
B5. 10 percent of GDP increase in other debt-creating flows in 2009	15.8	24.3	24.0	24.3	25.2	25.1	24.9	22.6
	NPV of debt-to-revenue ratio 2/							
Baseline	**62.5**	**58.4**	**58.3**	**59.8**	**63.7**	**63.3**	**65.6**	**68.2**
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	62.5	56.5	55.5	55.7	57.4	54.8	47.3	37.7
A2. Primary balance is unchanged from 2008	62.5	58.6	59.6	61.9	65.7	65.3	67.6	69.8
A3. Permanently lower GDP growth 1/	62.5	59.2	60.4	63.8	70.0	72.5	96.3	167.1
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2009-2010	62.5	62.5	69.1	75.7	84.7	89.2	114.5	145.3
B2. Primary balance is at historical average minus one standard deviations in 2009-2010	62.5	63.3	68.9	70.2	74.0	73.5	74.9	74.2
B3. Combination of B1-B2 using one half standard deviation shocks	62.5	60.6	63.7	64.9	68.6	67.9	68.9	69.3
B4. One-time 30 percent real depreciation in 2009	62.5	75.1	73.6	74.4	78.1	77.6	78.2	71.9
B5. 10 percent of GDP increase in other debt-creating flows in 2009	62.5	96.3	95.4	96.1	99.6	99.0	98.3	89.2
	Debt service-to-revenue ratio 2/							
Baseline	**12.5**	**12.2**	**12.9**	**12.8**	**12.8**	**12.9**	**12.5**	**13.2**
A. Alternative scenarios								
A1. Real GDP growth and primary balance are at historical averages	12.5	12.2	12.2	11.7	11.5	11.0	8.9	7.2
A2. Primary balance is unchanged from 2008	12.5	12.2	12.9	13.2	13.6	13.5	12.8	13.5
A3. Permanently lower GDP growth 1/	12.5	12.3	13.2	13.5	14.1	14.9	18.9	32.9
B. Bound tests								
B1. Real GDP growth is at historical average minus one standard deviations in 2009-2010	12.5	12.5	14.4	16.2	17.8	19.0	22.0	28.3
B2. Primary balance is at historical average minus one standard deviations in 2009-2010	12.5	12.2	14.5	16.6	16.2	15.2	13.5	14.5
B3. Combination of B1-B2 using one half standard deviation shocks	12.5	12.4	13.7	14.5	14.3	13.9	12.9	13.4
B4. One-time 30 percent real depreciation in 2009	12.5	12.5	13.4	13.4	13.5	13.6	13.1	13.6
B5. 10 percent of GDP increase in other debt-creating flows in 2009	12.5	12.2	25.7	27.4	21.6	20.4	16.0	18.0

Sources: Honduran authorities; and Fund staff estimates and projections.

1/ Assumes that real GDP growth is at baseline minus one standard deviation divided by the square root of 20 (i.e., the length of the projection period).
2/ Revenues are defined inclusive of grants.

Table 4. Honduras: Public Sector Debt Sustainability Framework, Baseline Scenario, 2005-2028

(In percent of GDP, unless otherwise indicated)

	Actual					Estimate							Projections		
	2005	2006	2007	Historical Average 5/	Standard Deviation 5/	2008	2009	2010	2011	2012	2013	2008-20013	2018	2028	2014-28 Average
Public sector debt 1/	**52.8**	**35.4**	**23.7**			**22.5**	**22.1**	**22.2**	**22.5**	**23.2**	**22.9**		**21.8**	**20.6**	
o/w foreign-currency denominated	42.9	28.3	16.6			17.6	19.2	19.5	19.5	19.4	19.3		17.5	12.4	
Change in public sector debt	-13.8	-17.4	-11.7			-1.2	-0.4	0.1	0.3	0.7	-0.4		-0.2	-0.1	
Identified debt-creating flows	-6.1	-4.8	-2.3			-1.2	-0.5	0.1	0.3	0.6	0.5		0.2	-0.1	
Primary deficit	-0.1	0.5	1.5	0.3	1.8	0.9	0.8	0.6	0.7	0.9	0.9	0.8	0.9	0.9	0.9
Revenue and grants	28.2	24.3	24.1			25.2	25.2	25.2	25.3	25.3	25.3		25.3	25.3	
of which: grants	1.1	1.1	1.2			1.7	1.5	1.5	1.5	1.5	1.4		1.0	1.0	
Primary (noninterest) expenditure	28.2	24.8	25.6			26.1	26.0	25.8	26.0	26.2	26.2		26.2	26.2	
Automatic debt dynamics	-4.7	-4.2	-3.5			-2.0	-1.2	-0.5	-0.4	-0.3	-0.3		-0.7	-0.9	
Contribution from interest rate/growth differential	-4.3	-3.7	-2.3			-1.2	-0.9	-0.5	-0.5	-0.5	-0.5		-0.5	-0.5	
of which: contribution from average real interest rate	-0.5	-0.5	-0.2			-0.1	0.1	0.5	0.5	0.4	0.4		0.4	0.3	
of which: contribution from real GDP growth	-3.8	-3.2	-2.1			-1.1	-1.0	-1.0	-0.9	-0.9	-0.9		-0.9	-0.8	
Contribution from real exchange rate depreciation	-0.4	-0.6	-1.2			-0.8	-0.3	0.0	0.1	0.2	0.2		...	...	
Other identified debt-creating flows	-1.4	-1.1	-0.3			-0.1	-0.1	0.0	0.0	0.0	0.0		0.0	0.0	
Privatization receipts (negative)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Recognition of implicit or contingent liabilities	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Debt relief (HIPC and other)	-1.4	-1.1	-0.3			-0.1	-0.1	0.0	0.0	0.0	0.0		0.0	0.0	
Other (specify, e.g. bank recapitalization)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Residual, including asset changes	-7.7	-12.7	-9.4			0.1	0.1	0.0	0.0	0.2	-0.9		-0.3	0.0	
NPV of public sector debt	9.9	**7.0**	**17.4**			**15.8**	**14.7**	**14.7**	**15.1**	**16.1**	**16.0**		**16.6**	**17.3**	
o/w foreign-currency denominated	0.0	0.0	10.3			10.8	11.8	12.1	12.1	12.3	12.5		12.3	9.0	
o/w external	.. ...	...	10.3			10.8	11.8	12.1	12.1	12.3	12.5		12.3	9.0	
NPV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0			0.0	0.0	0.0	0.0	0.0	0.0		0.0	0.0	
Gross financing need 2/	1.4	1.7	2.3			6.7	5.7	5.6	5.7	5.9	6.0		5.9	5.9	
NPV of public sector debt-to-revenue and grants ratio (in percent)	34.9	28.8	72.2			62.5	58.4	58.3	59.8	63.7	63.3		65.6	68.2	
NPV of public sector debt-to-revenue ratio (in percent)	36.4	30.2	76.0			67.1	62.2	62.1	63.7	67.8	67.1		68.4	71.1	
o/w external 3/	…	…	44.9			46.1	50.0	51.0	51.0	51.7	52.2		50.6	37.0	
Debt service-to-revenue and grants ratio (in percent) 4/	6.0	4.9	3.7			12.5	12.2	12.9	12.8	12.8	12.9		12.5	13.2	
Debt service-to-revenue ratio (in percent) 4/	6.3	5.1	3.9			13.4	13.0	13.7	13.6	13.7	13.7		13.1	13.7	
Primary deficit that stabilizes the debt-to-GDP ratio	13.7	18.0	13.2			2.0	1.2	0.5	0.3	0.2	1.2		1.0	0.9	
Key macroeconomic and fiscal assumptions															
Real GDP growth (in percent)	6.1	6.4	6.3	5.2	1.5	4.8	4.6	4.5	4.4	4.2	4.2	4.5	4.2	4.2	4.2
Average nominal interest rate on forex debt (in percent)	1.8	1.7	1.6	2.6	1.0	2.3	1.8	1.4	1.2	1.1	0.9	1.4	0.5	0.1	0.4
Average real interest rate on domestic currency debt (in percent)	2.5	1.1	1.0	-3.3	5.8	-3.0	2.1	20.0	23.1	20.3	15.6	13.0	17.0	7.0	13.1
Real exchange rate depreciation (in percent, + indicates depreciation)	-0.7	-1.4	-4.5	-1.8	4.5	-5.1	...	...	...	...	...	...	...	...	...
Inflation rate (GDP deflator, in percent)	7.3	4.8	7.0	8.5	5.4	8.8	7.7	6.7	6.3	6.1	5.8	6.9	5.5	5.5	5.5
Growth of real primary spending (deflated by GDP deflator, in percent)	18.8	-6.5	9.6	6.4	7.3	7.0	4.2	3.6	5.2	5.0	4.2	4.9	4.2	4.2	4.2
Grant element of new external borrowing (in percent)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	...

Sources: Honduran authorities; and Fund staff estimates and projections.

1/ Debt of the general government, includes treasury bonds issued to repay arrears of ENEE.

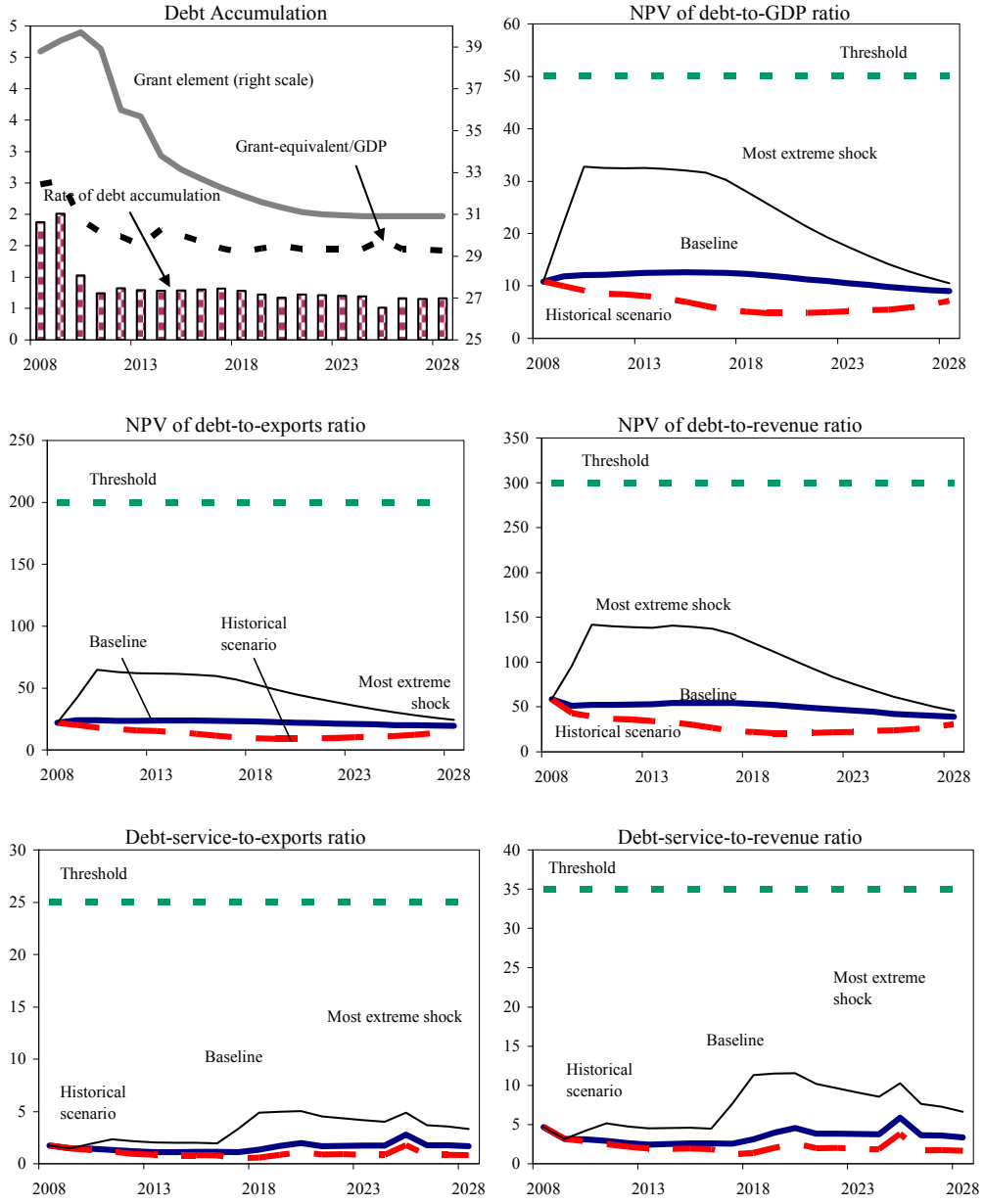
2/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period.

3/ Revenues excluding grants.

4/ Debt service is defined as the sum of interest and amortization of medium and long-term debt.

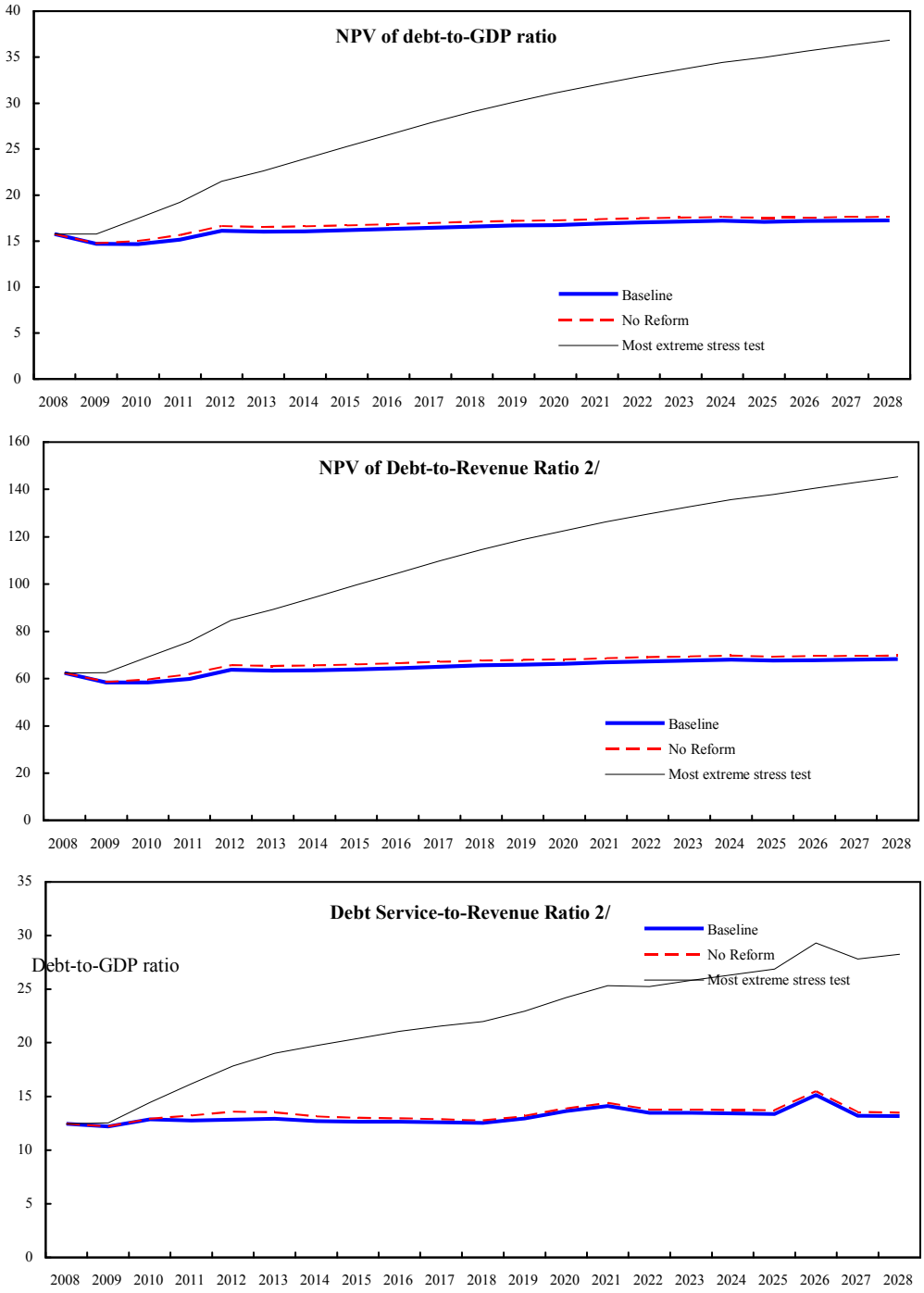
5/ Historical averages and standard deviations are generally derived over the past 10 years, subject to data availability.

Figure 1. Honduras: Indicators of Public and Publicly Guaranteed External Debt Under Alternative Scenarios, 2007-2027



Source: Fund staff projections and simulations.

Figure 2. Honduras: Indicators of Public Debt Under Alternative Scenarios, 2008-2028 1/



Source: Fund staff projections and simulations.
1/Most extreme stress test is test that yields highest ratio in 2018.
2/Revenue including grants.

Appendix III. Honduras—Summary of Annexes

Fund Relations

Honduras' outstanding purchases amount to SDR 20.34 million, 15.71 percent of the quota. Honduras' de jure exchange arrangement is a crawling band, but the de facto exchange rate regime is a conventional pegged arrangement. The last Article IV consultation with Honduras was concluded on February 21, 2007. An FSAP mission was conducted in 2003 and an update was carried out in September–October 2007. The Banco Central de Honduras (BCH) was subject to an assessment completed on February 11, 2004. It identified certain weaknesses and made recommendations to which the BCH has responded by adopting several measures in the field of internal controls, financial reporting framework, and external auditing. An update assessment of the BCH safeguards framework has been recently initiated in relation to the requested new arrangement. Honduras' most recent Stand-By Arrangement expired in 1992.

Relations with the World Bank Group[4]

As of January 22, 2008, the IDA active portfolio in Honduras consists of 16 projects for a total commitment of US$347.6 million; of which US$198 million remain to be disbursed (Honduras was declared IDA-only in September 1991). The active projects are focused on infrastructure, growth to address poverty, and financial sector institutional development. Overall, the IDA expects to disburse $93.5 million in calendar year 2008, $144.1 million in 2009 and $46 million in 2010, of which $27.3 million and $30 million in 2008 and 2009 would be in the form of fast-disbursing budget support. The current CAS covers the period 2007–2010.

Relations with the Inter-American Development Bank[5]

As of January 22, 2008, there were 31 projects in the Bank's loan portfolio for US$671.3 million, with an undisbursed balance of US$460.3 million. After the Bank Debt Relief the annual allocation for 2008 is US$97.1 million for each year. Total MDRI debt relief from IDB to Honduras was approved on February 2007 and the debt relief amount was US$1367 million (principal plus interest). A new country strategy is expected to be approved for the board in March 2008.

Statistical Issues

Data on the public finances, balance of payments, and external debt broadly satisfy minimum criteria required for surveillance and program monitoring purposes. However, a consistent and reliable method is needed for deriving estimates of private capital flows. Honduras has participated in the General Data Dissemination System (GDDS) since September 29, 2005.

---

[4]Adapted from text prepared by World Bank staff on January 23, 2008.

[5]Adapted from text prepared by IADB staff on January 8, 2007.